January 2026 Logistics Managers' Index

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January 2026 Logistics Manager's Index Report®

LMI® at 59.6

Growth is INCREASING AT AN INCREASING RATE for: Inventory Levels, Inventory Costs, Warehousing Capacity, Warehousing Utilization, and Transportation Prices

Growth is INCREASING AT A DECREASING RATE for: Warehousing Prices and

Fort Collins, CO) —The January Logistics Manager's Index reads in at 59.6, up (+5.2) from December's reading of 54.2. This is the fastest level of expansion since May of last year. It is down (-2.4) from January 2025's reading of 62.0. The overall rate of expansion is largely due to a shift back towards milder restocking to start the year. It is lower than last year because the rate of expansion for Inventory Levels (53.9) is relatively mild compared to what we often see in January (58.5 last year) when firms are engaged in restocking. This is especially notable given that December's reading was 35.1, which was the lowest ever for this metric. This suggests that respondents kept with their future predictions from last year and running inventories relatively lean to start the year. This is possibly reflective of the continued high costs. Inventory Costs (+8.4) read in at 71.3, pushing them back above the significant expansion threshold of 70.0 for the 12th out of 13 times. The expansion in inventory is reflected in Warehousing Capacity dropping (-11.2) to 50.0 and no movement. Warehousing Utilization is the mirror image, bouncing back (+11.6) from contraction to expansion at 54.4. Transportation is still tight, although the rate of Transportation Capacity has slowed (+10.9) from 36.9 to a milder rate of 47.1. This continued tightening led to another increase (+4.8) in Transportation Prices, which at 71.4 is expanding more quickly than any time since April of 2022.

Researchers at Arizona State University, Colorado State University, Florida Atlantic University, Rutgers University, and the University of Nevada, Reno, and in conjunction with the Council of Supply Chain Management Professionals (CSCMP) issued this report today.

Results Overview

The LMI score is a combination of eight unique components that make up the logistics industry, including: Inventory Levels and Costs, Warehousing Capacity, Utilization, and Prices, and Transportation Capacity, Utilization, and Prices. The LMI is calculated using a diffusion index, in which any reading above 50.0 indicates that logistics is expanding; a reading below 50.0 is indicative of a shrinking logistics industry. The latest results of the LMI summarize the responses of supply chain professionals collected in January 2026.

The January LMI read in at 59.6, which is up (+5.4) from December's reading of 54.2. This is the fastest rate of expansion since last May, which comes on the heels of what had

small (59.6 and 59.5) respondents.

The overall economy continues to be an interesting, if not somewhat uncertain place. In a 10-2 vote the U.S. Federal Reserve held interest rates steady between 3.5-3.75%. Comments from the board suggest they are comfortable staying put until a big move happens in the interest or unemployment numbers[1]. The nomination of Kevin Warsh for incoming Fed Chair may have some expecting softer interest rates later this year, it is worth pointing out that he was actually fairly hawkish on rates as a governor from 2006-2011[2]. Whether that happens is likely more dependent on the job market than one particularly governor. Canada also chose to keep their interest rates unchanged, holding at a rate of 2.25% for the second consecutive meeting[3]. The Fed is attempting to balance the cross pressures of inflation and unemployment. Several large firms announced significant layoffs in January. The largest of these is UPS, who will be cutting up to 30,000 operational jobs (i.e. warehousing and delivery) as they continue to reduce their volume with Amazon, who has been their largest customer. This comes after cutting another 62,000 positions in 2025, reflecting a significant reduction in workforce as they continue attempting to fill the gap with increased automation throughout their distribution network[4]. Amazon is in a similar boat, eliminating 16,000 white-collar positions that are slated to be partially back-filled by AI. This marks a true strategic shift more than a cost-cutting one, as Amazon's profits were up 40% to $21 billion in the most recent quarter[5]. In the last week of January Nike also announced the termination of 775 warehousing positions coming as the result of increased automation[6]. It is interesting that all of these firms cited automation, rather than significant business slowdowns, as the raison d'etre for these cuts. Economists have been classifying the U.S. job market as a "no-hire, no-fire" economy. The economy added 584,000 jobs in 2025. That comes out to approximately 50,000 per month – down significantly from the 170,000 jobs the U.S. gained in the average month in 2024[7]. If the recent wave of firings continues (Dow Chemicals, Home Depot, and Mastercard also announced significant layoffs in the last week of January)[8] [9] and new jobs do not pick up – 50,000 were added last month – economists may have to reclassify their labor market assessment.

Uncertainty regarding the job market seems to be reflected in consumer sentiment. The Consumer Board's January 2026 Consumer Confidence Index (CCI) is down (-9.7) to 84.5

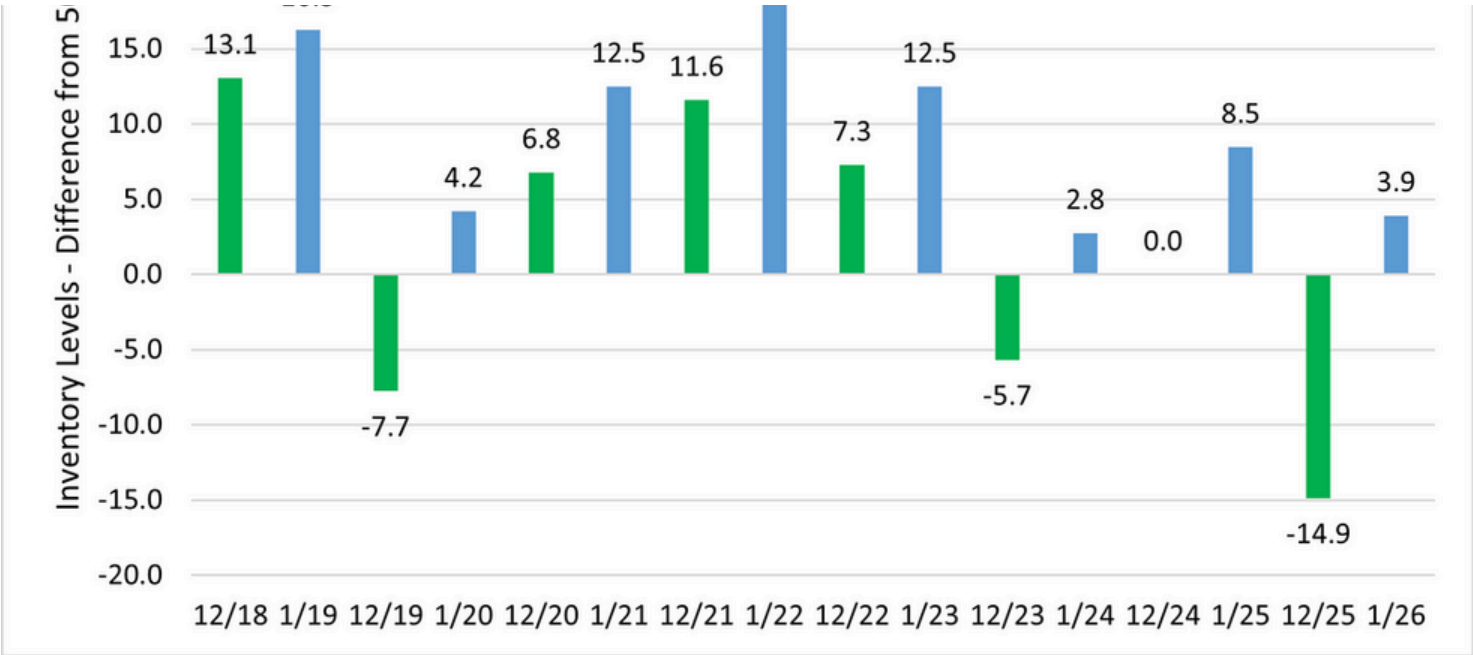
same time a year ago. Consumers in this report are still concerned about tariffs, but their fears regarding future inflation have subsided somewhat[11]. Despite the poor sentiment, U.S. spending continues, although there is evidence that it continues to be driven more by high socio-economic consumers – leading to what is called a “k-shaped” economy. Decreased spending by lower socio-economic consumers has not been bad for everyone. Goodwill reported $7 billion in revenue for 2025 which is up 7% from 2024 and is an all-time record. Similar increase were seen at Savers Value Village and ThredUp, suggesting an increased number of consumers looking for deals to stretch their dollar[12]. Consumer spending at the low end could be boosted by tax returns, which are expected to be $1000 larger this year on average[13].

Looking abroad, international trade continues to fluctuate. In November the U.S. trade deficit increased by 94.6% to $56.8 billion. This is a product of decreased exports as well as the significant inflows of products during the Q4 shopping season. Some of this may have been due to manufacturing investment as well, with $7.4 billion in capital goods – an all-time high – coming in November. It is possible that some of this uptick was due more to cost increases than volume alone[14]. Canada announced plans to lower tariffs on Chinese automobiles. Specifically, they will lower tariffs on Chinese electric vehicles from 100% to 6.1%. This will create additional challenges for U.S. automakers in what has historically been a strong market for them. Canadian lawmakers argue that the country has little choice but to lower barrier with Canada, given the increased costs of U.S. vehicles due to tariffs and counter tariffs[15]. Several trade partnerships have been formed in the wake of continued U.S. tariffs. In January the EU announced separate free trade deals with the South American bloc known as Mercosur[16], as well as with India[17]. While both deals still have some legal hurdles, they represent a coming together of the world’s largest economic bloc in the EU and several of its fastest growing economies – something which will allow all involved parties to lessen their reliance on the United States.

Some of this volume may be replaced by domestic manufacturing. GM announced plans to continue increasing production in the U.S., eventually reaching 2 million units per year. GM reported $3.1 billion in tariff costs in 2025 and expects another $3-4 billion in 2026, so there is a strong financial incentive to reshore[18]. U.S. factory orders were up

services[20]. This may be reflected in the significantly higher Inventory Costs of 77.5 reported by larger firms. Smaller firms also reported expansion – albeit at the significantly lower level of 65.0. This difference in cost and inflation may be reflective of tariffs paid on imports and/or the costs of standing up domestic manufacturing.

Inventory Costs are up (+8.4) to 71.3 and continue to expand at a much faster rate than Inventory Levels. Inventory Levels contracted at 35.1 in December, which was their fastest decline in the history of the index. That shifted in January as Inventory Levels moved (+18.8) back to very mild expansion at 53.9. This moderate rate of expansion is consistent across the supply chain (small and large respondents report identical expansion at 53.9) and may represent the long-predicted return to JIT inventory management policies. The chart below shows Inventory Level movements in December (green bars) and January (blue bars) over the last seven years. Values are presented relative to the breakeven level of 50.0 (i.e. January 2026's reading was 53.9, so relative to 50.0 it is 3.9). Inventory Levels contracted more quickly in December 2025 than at any other point in the history of the LMI. However, the replenishment we see occurring in 2026 is the second lowest for any January. It is interesting that the three slowest rates of January Inventory Level replenishment occurred after the only three readings of Inventory Level contractions in December. The last time these dynamics existed was going from 2023 to 2024. Inventories were run very lean in 2024 – which in many ways was the only truly JIT year of the 2020s (inventory managers may have ended 2019 and started 2020 planning on lean inventories, but that changed due to existential global health crisis-related reasons). That suggests that the inventory dynamics of 2024 may provide a blueprint for 2026. In that case, we may see firms turning over inventories quickly, which will likely require increased freight utilization. The caveat here is that Inventory Costs are statistically significantly higher ($p<0.0001$) than they were two years ago. Inventory Costs expanded at an average of 65.5 from December 2023-December 2024 at an average of 73.7 from January 2025-January 2026. The lean inventory turnover plans are incentivized by a combination of tariffs and expectations of strong consumer spending. If high costs put a dent in spending, the slowdown could look more like 2023 than 2024, when inventories were still low, but also relatively static.



Whatever happens going forward, inventories are moving quickly now, which is reflected in our transportation metrics. Transportation Capacity continued to contract in at 47.1 in January, although at a much slower rate (+10.2) than the 36.9 in December. As discussed below, Transportation Capacity contraction has slowed in each 2-week period since early December, suggesting that the market is leveling off after contracting quickly at the start of the holiday shopping season. January's contraction is driven by larger respondents, who reported a level of contraction (41.5) that was statistically significantly lower than the mild expansion (52.5) reported by their smaller counterparts. We also saw Upstream firms report contraction (45.9) while Downstream retailers reported Transportation Capacity breaking even at 50.0. It has been an interesting month for Downstream retail transportation and fulfillment. Office Depot and American Eagle were among the retailers that had opened logistics arms during the pandemic. American Eagle's $360 million acquisition of Quiet Logistics was an attempt to offer logistics as a service for similar retailers. Both AE and Office Depot shuttered these operations, pivoting back towards their core competencies and exiting the world of third-party delivery[21]. However, grocery delivery was another bright spot for the B2C market, with U.S. e-grocery sales up 32% year-over-year with $12.7 billion in sales in December. Interestingly, this expansion contributed to the ongoing "k-shaped" economy, as earners making more than $200,000 per year have doubled their e-grocery shopping since 2023, while those making between $50,00-99,999 have pulled back[22]

Atlanta, expanding the reach of their program from 2 million to 40 million[23].

As one would expect with the two-month contraction of Transportation Capacity, Transportation Prices have continued to rise. This month's reading is up (+4.8) to 71.4, which is the highest reading for this metric since April of 2022. There seems to have been a shift to the more intermodal-heavy strategies that characterized mid-2025, to more OTR shipping – which would be consistent with a movement towards faster inventory turnover. Norfolk Southern's profits were down 12% in the fourth quarter. This is largely due to one-time charges related to its ongoing merger with Union Pacific[24]. It could also reflect a possibly shift away from intermodal and towards OTR as inventory began moving faster at the end of the year. Interestingly, BNSF has announced it will spend $3.6 billion on infrastructure investments in 2026, with plans to lay some new track and also either resurface or replace thousands of miles of track[25]. At the same time, U.S. diesel prices were to $3.624 per gallon in the last week of January up (+$0.094 per gallon) from the week before but down (-$0.035 per gallon) year-over-year[26].

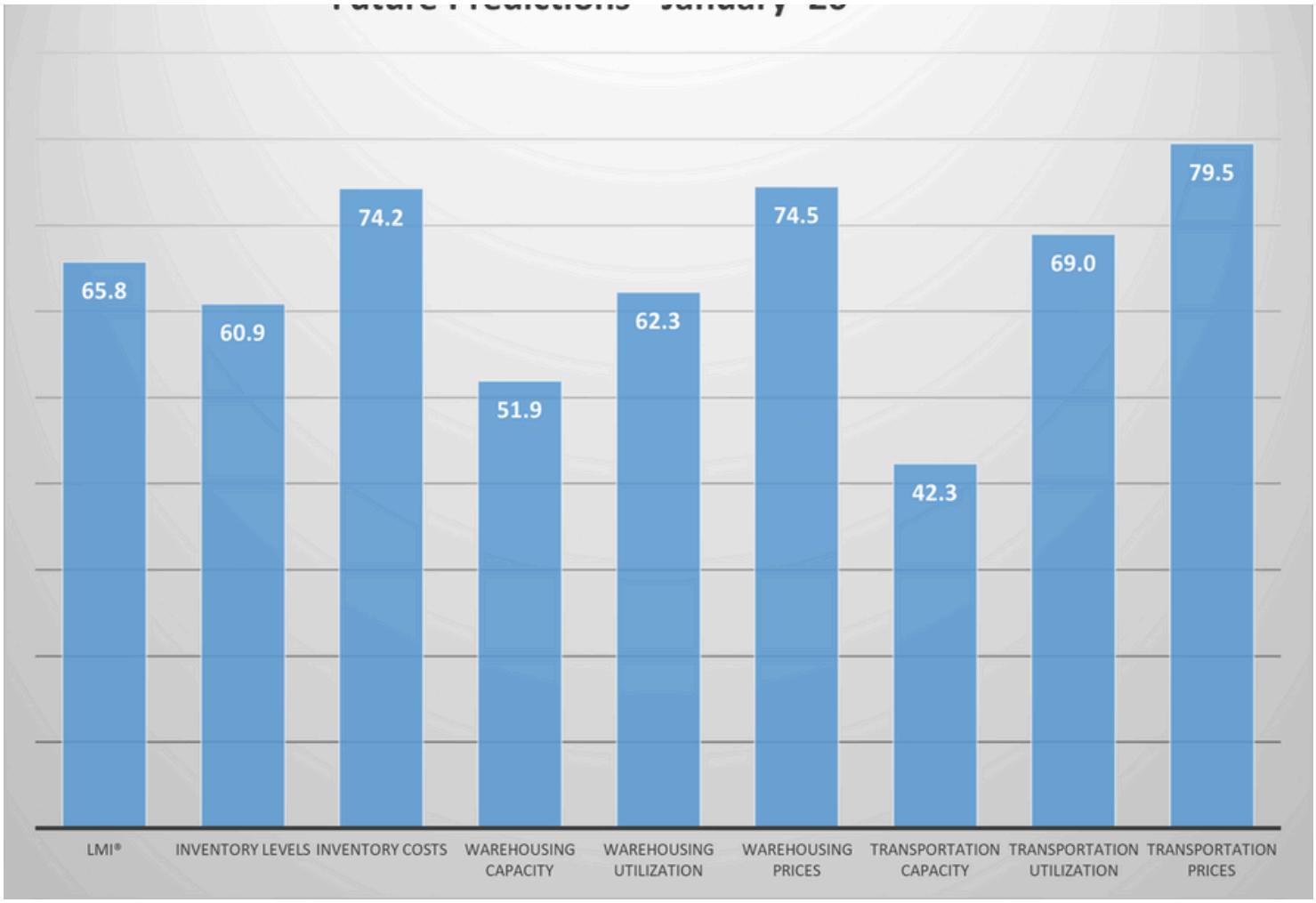
The dip in capacity and increase in price comes despite consistent expansion (-0.1) of 58.1 in Transportation Utilization. It is likely that this is due to capacity being constrained by harsh weather conditions. Economists believe that January's severe winter storms could reduce GDP by 0.5-2.0%, the equivalent of $150-600 billion[27]. There is evidence that this storm led to tighter freight capacity and may have prolonged elevated freight prices post-holiday[28]. We also see that Upstream Transportation Capacity came in much higher (73.8) than their Downstream counterparts (56.3). This could point to a combination of slower fulfillment at the retail level, as well as the potential for more B2B investment Upstream.

Similar to what we observe with inventories, warehousing metrics shifted back towards expansion in January as firms restocked after the holiday rush. Warehousing Capacity dropped (-11.2) from 61.2, which had been its highest expansion in years, down to 50.0 and no movement. After emptying out through the last 2.5 months, there seems to be some optimism around warehousing. Warehousing vacancy rate held steady at 7.1% in the fourth quarter, tying an 11-year high. That being said, companies did lease 665 million square feet of space in 2025, which is the most since 2022. This could be

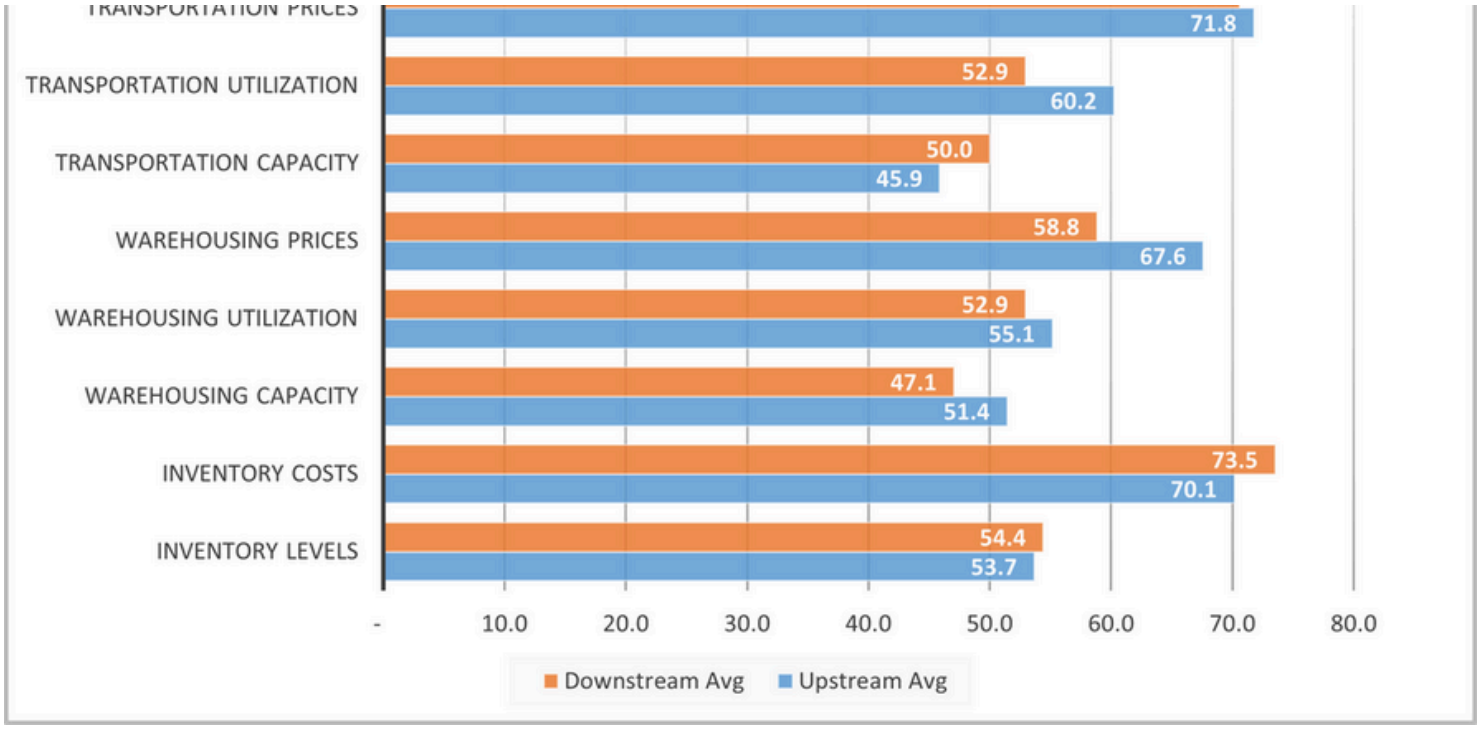
mild expansion (51.4) Upstream.

Warehousing Utilization made a similarly significant move, going from contraction at 42.9 up (+11.6) to expansion at 54.4. Warehousing Utilization contracted for the only time ever in our index in November and December. As predicted last month, this was a temporary byproduct of a historic rundown in inventories. Utilization is now back into expansion territory, where both Upstream (63.8) and Downstream (59.1) respondents expect it to stay for the next 12 months. Of the warehousing metrics, Warehousing Prices moved the least (-1.5) but remained in robust expansion at 64.8. Upstream firms reported significantly faster rates of price expansion at 67.6 to the 58.8 reported by their Downstream counterparts. This is something that seems likely to continue into the future, with Upstream firms predicting what would be highly significant expansion at 77.5 and Downstream firms predicting still strong growth of 68.2. Based on both current and future predictions it seems likely that storage costs will continue to increase throughout 2026. One way that firms are attempting to cut warehousing costs is through increased AI, such as the Athena system that is being used to determine the authenticity of returned high-end goods[30]. January also saw an increased adoption by U.S. government facilities of computer-vision AI models originally developed by Amazon[31].

Respondents were asked to predict movement in the overall LMI and individual metrics 12 months from now. Respondent predictions for the overall index are 65.8, which is up marginally (+0.5) from December's future prediction of 65.3. Firms expect robust increase in Inventory Levels at 60.9 (although that is driven more by Upstream firms). They also expect significant cost growth across the board with Inventory Costs (+2.1) at 74.2, Warehousing Prices (-0.2) at 74.5, and Transportation Prices (+2.7) at 79.5. All three metrics are predicted to be above the significant expansion line of 70.0 and cumulative cost predictions are 228.25 which would represent a notable – though not severe – level of supply inflation. The last time cumulative logistics costs expanded at that rate was in May 2022, which was a time of significant inflation in the U.S. and around the world. Capacity is also expected to be limited in the coming 12 months, with Warehousing Capacity predicted to be close to break even at 51.9 and Transportation Capacity

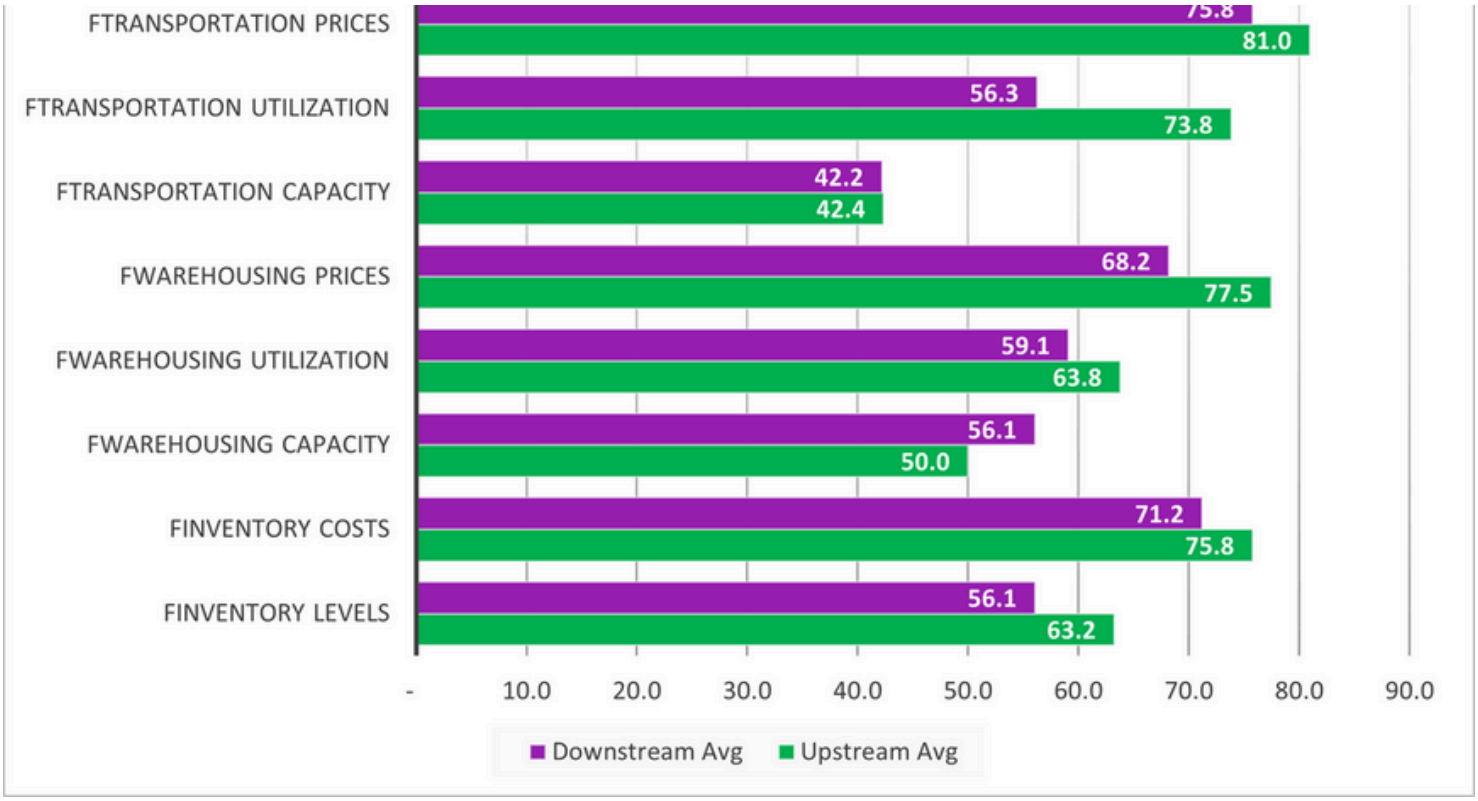


We observe some differences when comparing feedback from Upstream (blue bars) and Downstream (orange bars) respondents in January. In the first month of 2026 activity is more balanced across supply chains than we saw for much of 2025. Inventory Levels are coming up slowly for both Upstream and Downstream firms (53.7 and 54.4 respectively). Warehousing Capacity is contracting slightly (47.1) Downstream while increasing slightly Upstream (51.4). The opposite if true for Transportation Capacity which is contracting Upstream (45.9) while holding steady Downstream (50.0). Taken together, this may suggest that everyone across the supply chain is engaged in some level of restocking and are utilizing a notable level of logistics infrastructure to do so. The only statistically significant difference between the two groups is the marginally higher rate of expansion for Warehousing Prices Upstream (67.6) relative to Downstream (58.8) which is a continuation of the trends from December.



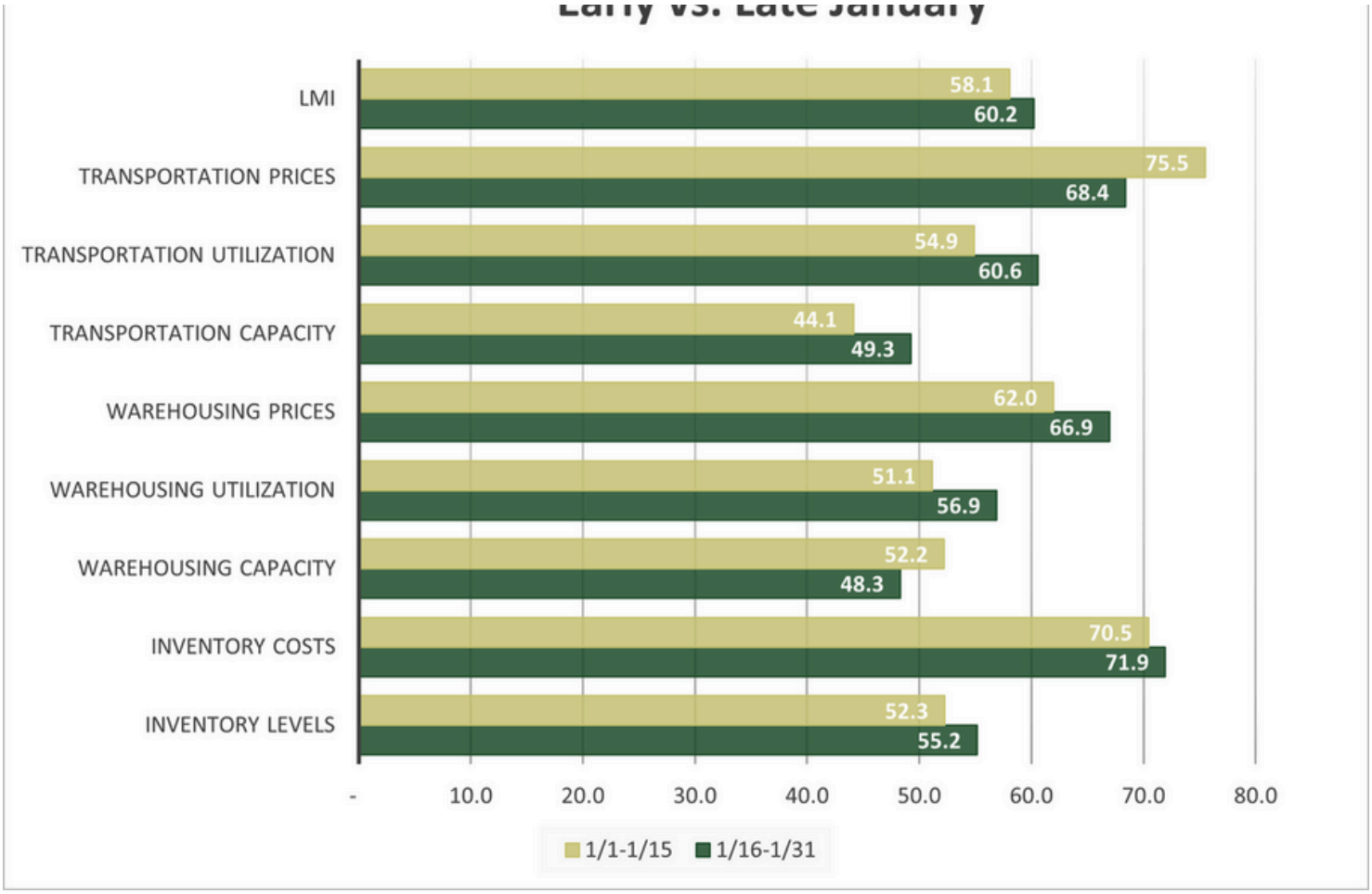
	Inv. Lev.	Inv. Costs	WH Cap.	WH Util.	WH Price	Trans Cap	Trans Util.	Trans Price	LMI
Upstream	53.7	70.1	51.4	55.1	*67.6*	45.9	60.2	71.8	59.7
Downstream	54.4	73.5	47.1	52.9	*58.8*	50.0	52.9	70.6	58.3
Delta	0.7	3.4	4.4	2.2	*8.8*	4.1	7.3	1.2	1.4
Significant?	No	No	No	No	*Marginal*	No	No	No	No

We also split future predictions by Downstream respondents (purple bars) and Upstream respondents (green bars). Unlike the relative parity of current readings, future predictions suggest that Upstream firms will be notably busier than their Downstream counterparts. Upstream firms continue to expect slightly higher rates of Inventory Level expansion (63.2) than Downstream retailers (56.1). Due to this, they also expect tighter Warehousing Capacity (no movement at 50.0 to 56.1 and slight expansion Downstream), faster Warehousing Price expansion (77.5 to 68.2), and much higher Transportation Utilization (73.8 to 56.3). Together these push the overall index to 66.6 Upstream which is marginally significantly higher than the 59.1 predicted Downstream.



Futures	Inv. Lev.	Inv. Costs	WH Cap.	WH Util.	WH Price	Trans Cap.	Trans Util.	Trans Price	LMI
Upstream	63.2	75.8	50.0	63.8	*77.5*	42.4	**73.8**	81.0	*66.6*
Downstream	56.1	71.2	56.1	59.1	*68.2*	42.2	**56.3**	75.8	*59.1*
Delta	7.2	4.5	6.1	4.7	*9.3*	0.2	**17.6**	5.2	*7.5*
Significant?	No	No	No	No	*Marginal*	No	**Yes**	No	*Marginal*

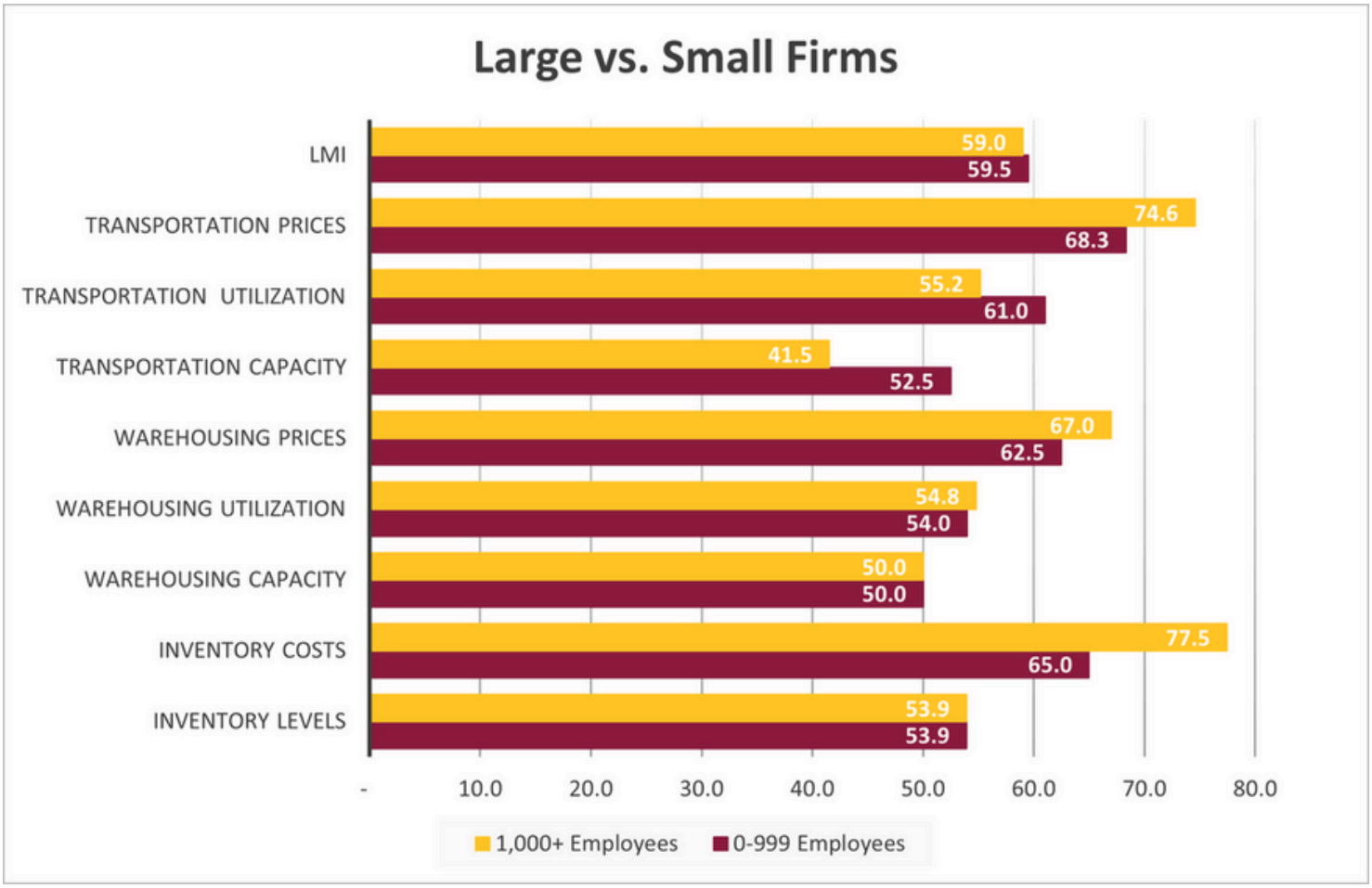
We analyze any differences in responses collected in early (gold bars) versus late (green bars) January. There were six statistically significant differences in the December analysis – there are none in January – suggesting much less movement within the month. The most notable (though statistically insignificant) shift was in Transportation Prices, which slowed from a 4-year high of 75.5 to a still-robust rate of expansion at 68.4. Transportation Capacity contraction slowed at the same time, going from 44.1 early to almost no movement at 49.3 later in January. These same metrics also slowed between early and late December. Together this suggests that while freight market continues to expand, the rate of expansion has slowed since the initial burst early last month. That does not mean that it will move into a slowdown, merely that the rate of expansion may



	Inv. Lev.	Inv. Costs	WH Cap.	WH Util.	WH Price	Trans Cap	Trans Util.	Trans Price	LMI
1/1-1/15	52.3	70.5	52.2	51.1	62.0	44.1	54.9	75.5	58.1
1/16-1/31	55.2	71.9	48.3	56.9	66.9	49.3	60.6	68.4	60.2
Delta	2.9	1.5	3.9	5.8	5.0	5.1	5.7	7.1	2.2
Significant?	No	No	No	No	No	No	No	No	No

We also compare smaller firms (those with 0-999 employees, represented by maroon lines) to larger firms (those with 1,000 employees or more, represented by gold lines) in January. After having no statistically significant differences in December, we see a few notably differences in January. Larger firms report significantly higher Inventory Costs (77.5 to 65.0) and significantly tighter Warehousing Capacity (41.5 to 52.5). The higher costs come despite Inventory Levels being identical at 53.9 for both groups. Inventories across the two groups have now been very similar for three months in a row. The fact that large and small firms are both going from contraction last month (37.5 and 31.7 respectively) to mild expansion suggests that the inventory dynamics that characterized

strategies. These January readings suggest that may in fact be the case.



Employees	Inv. Lev.	Inv. Costs	WH Cap.	WH Util.	WH Price	Trans Cap.	Trans Util.	Trans Price	LMI
0-999	53.9	**65.0**	50.0	54.0	62.5	**52.5**	61.0	68.3	59.5
1,000+	53.9	**77.5**	50.0	54.8	67.0	**41.5**	55.2	74.6	59.0
Delta	0.0	**12.5**	0.0	0.8	4.5	**11.0**	5.8	6.2	0.5
Significant?	No	**Yes**	No	No	No	**Yes**	No	No	No

The index scores for each of the eight components of the Logistics Managers' Index, as well as the overall index score, are presented in the table below. The rate of expansion for the overall index is 59.6, which is up (+5.4) from December's reading of 54.2. Breaking the trend of the last two months, we observe upward movement from the inventory and warehousing metrics. Inventory Levels swung (+18.8) from their lowest-ever rate of contraction at 35.1 to mild expansion at 53.9. Despite the mild rate of expansion,

54.4. Transportation Capacity continues to contract, although at a much milder rate (+10.2) of 47.1. At the same time, Transportation Prices are up (+4.8) to 71.4, which is the fastest rate of expansion level since April of 2022.

LOGISTICS AT A GLANCE					
Index	**January 2026 Index**	**December 2025 Index**	**Month-Over-Month Change**	**Projected Direction**	**Rate of Change**
LMI®	59.6	54.2	+5.4	Expanding	Faster
Inventory Levels	53.9	35.1	+18.8	Expanding	From Contracting
Inventory Costs	71.3	62.9	+8.4	Expanding	Faster
Warehousing Capacity	50.0	61.2	-11.2	No Movement	From Expanding
Warehousing Utilization	54.4	42.9	+11.6	Contracting	From Contracting
Warehousing Prices	64.8	66.2	-1.5	Expanding	Slower
Transportation Capacity	47.1	36.9	+10.2	Contracting	Slower
Transportation Utilization	58.1	58.2	-0.1	Expanding	Slower
Transportation Prices	71.4	66.7	+4.8	Expanding	Faster

Historic Logistics Managers' Index Scores

This period's along with prior readings from the last two years of the LMI are presented table below:

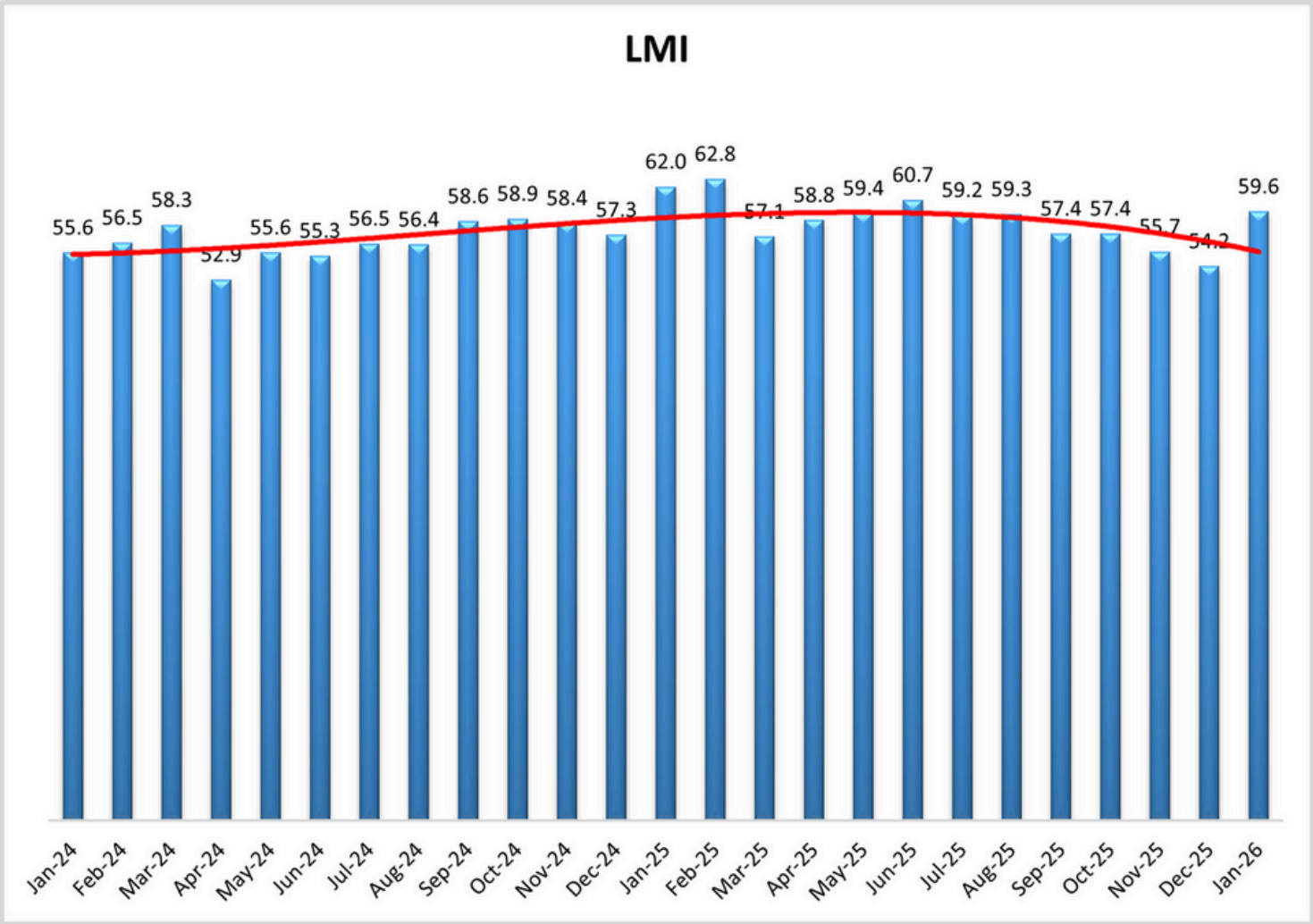
Nov '25	55.7	Low – 45.4
Oct '25	57.4	Std. Dev – 7.60
Sep '25	57.4	
Aug '25	59.3	
July '25	59.2	
June '25	60.7	
May '25	59.4	
Apr '25	58.8	
Mar '25	57.1	
Feb '25	62.8	
Jan '25	62.0	
Dec '24	57.3	
Nov '24	58.4	
Oct '24	58.9	
Sep '24	58.6	
Aug '24	56.4	
July '24	56.5	
June '24	55.3	
May '24	55.6	
Apr '24	52.9	
Mar '24	58.3	
Feb '24	56.6	
Jan '24	55.6	

LMI®

The January Logistics Manager's Index reads in at 59.6, which is up (+5.2) from December's reading of 54.2, and is the highest reading since June. This reading is down (-2.4) from last year's reading of 62.0 which is interestingly the all-time average for the index in January. The slightly slower rate of growth compared to many other years is largely due to a slower rate of post-holiday restocking. We do however see strong

small (59.6 and 59.3) respondents.

When asked to predict what conditions will be over the next 12 months, respondents foresee a rate of expansion of 65.8, which is marginally higher (+0.5) than December's future prediction of 65.3, and would be above the all-time average of 61.3. Respondent expectations vary across the supply chain, with Upstream respondents predicting overall expansion of 66.6 and Downstream respondents predicting a slower (although still notable) rate of expansion at 59.1.

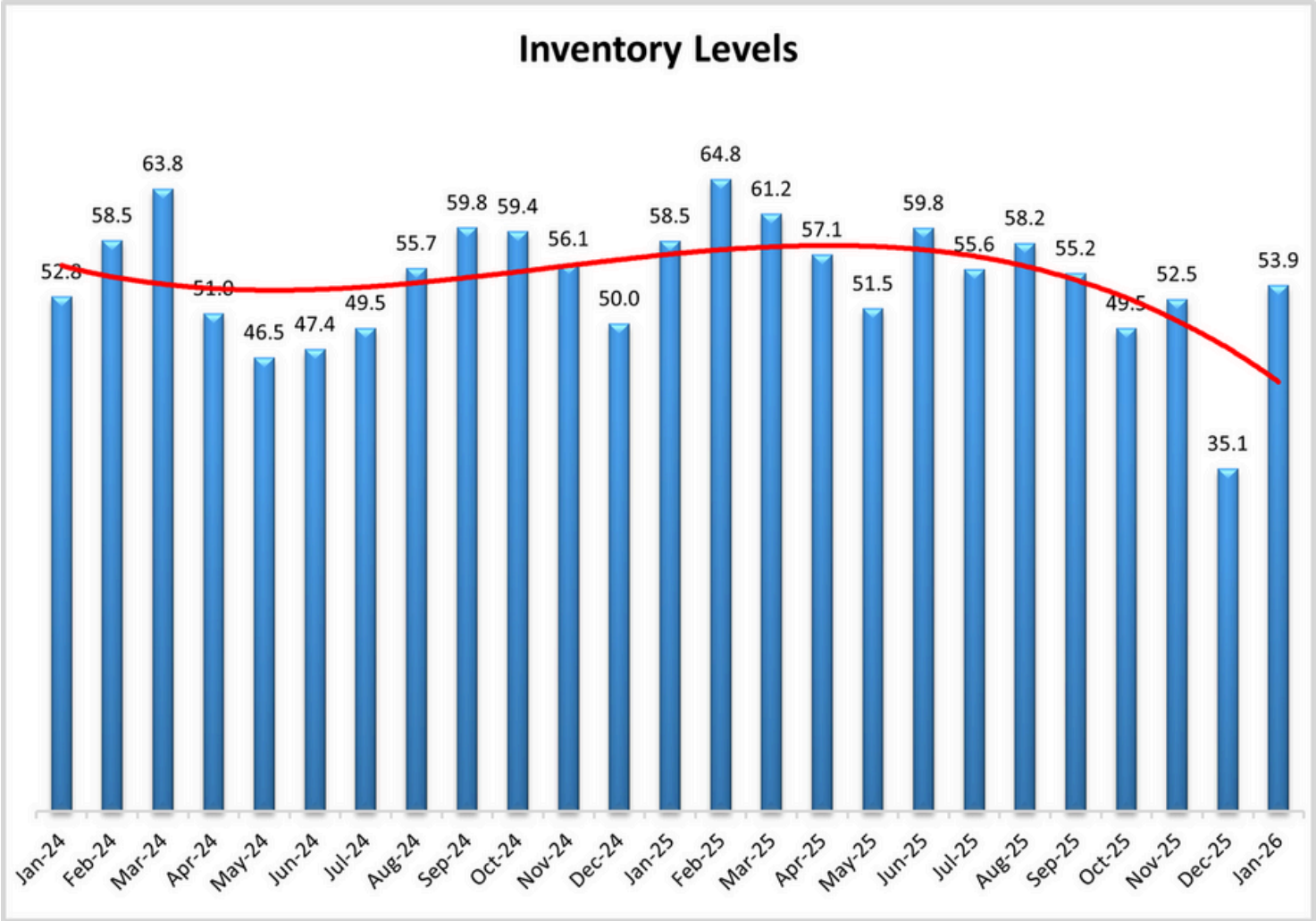


Inventory Levels

The Inventory Level index is 53.9, up (+18.8) from last month's 35.1. This is a sharp rebound following last month's lowest value ever recorded for this index. Inventory Levels are 4.6

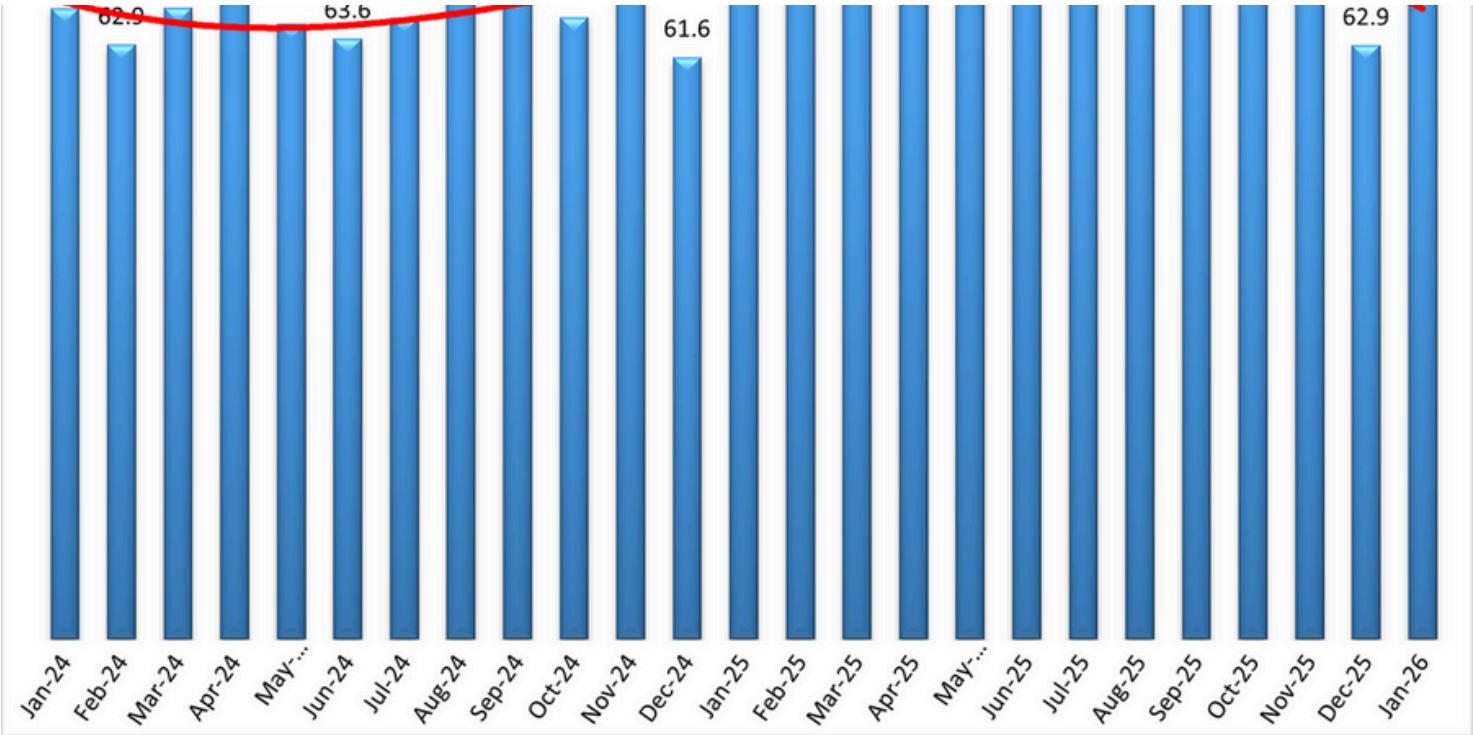
slower level than one might expect given the rapid de-stocking from December. Upstream and Downstream were very consistent. Upstream returned a value of 53.7 and Downstream read in at 54.4. This stands in contrast to the holiday-period volatility seen earlier in the season, when upstream and downstream values diverged significantly.

Predictions for future Inventory Level growth are 60.9, up slightly (+1.9) from December's future prediction of 59.0. Upstream respondents predict robust expansion at 63.2 while their Downstream counterparts look to keep things a bit leaner at 56.1. This is likely an attempt by retailers to keep inventories as low as possible to avoid tariffs and optimize cashflow.



January, and Inventory Costs showed a similar – though less dramatic – pattern. Inventory Levels fell by 17.4 points in December, while Inventory Costs fell by only 7.9. Over the past three months, Inventory Levels moved from a small increase to a significant decrease and back to a small increase, while Inventory Costs showed no decreasing values at all during this period. Inventory Costs are 1.1 points higher than a year ago, and 4.5 points higher than two years ago at this time, indicating stability for this point in the year. Upstream returned a value of 70.1, and Downstream returned a similar value, at 73.5. The interesting thing is that small firms reported increasing costs at 65.0, while large firms reported a much larger increase at 77.5, despite identical Inventory Level readings (53.9) for both groups. Early respondents reported a significant increase in Inventory Costs (70.5), while later respondents returned a very similar value (71.9).

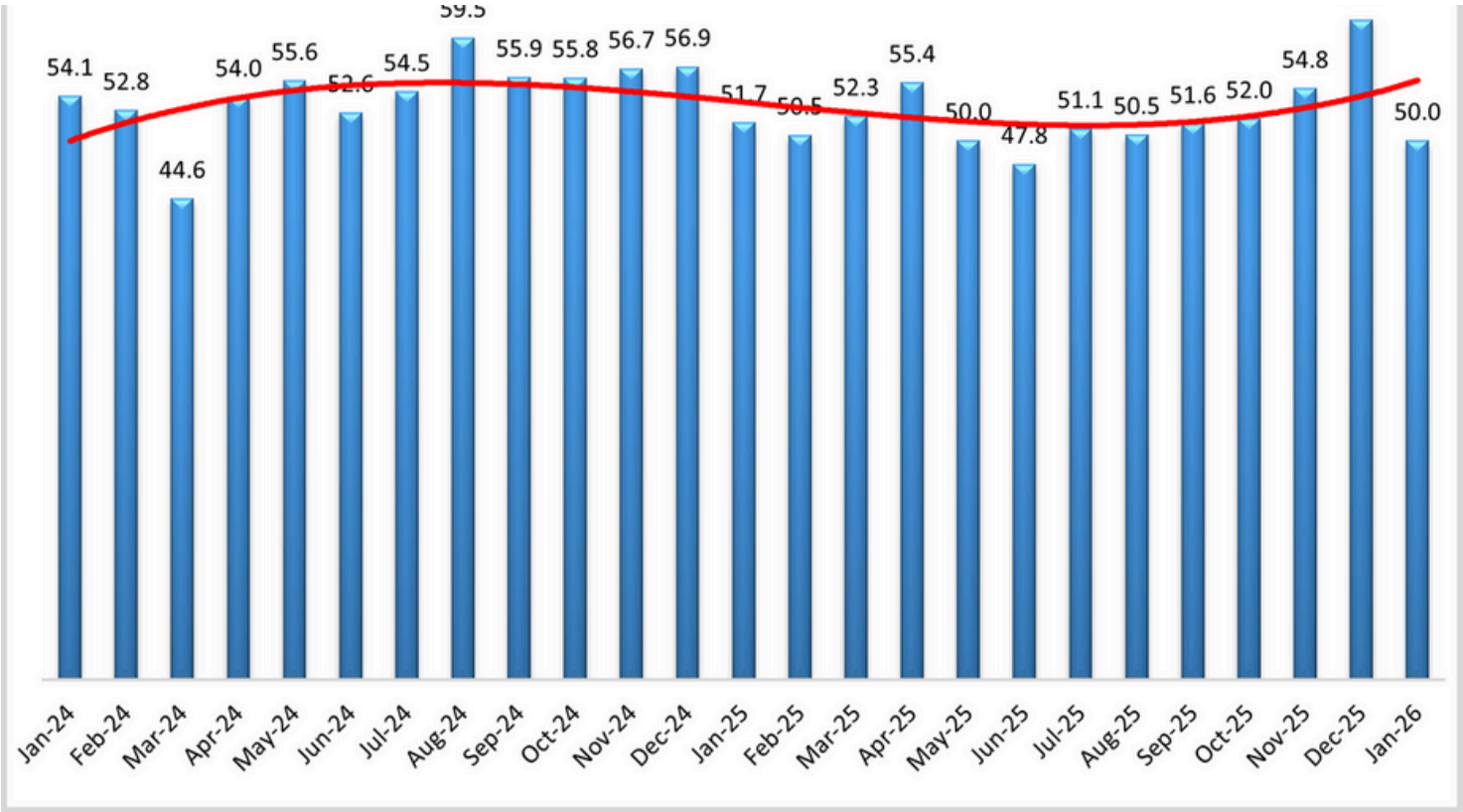
Predictions for future Inventory Cost growth is 74.2, up (+2.1) from December's future prediction of 72.1, suggesting that costs will continue to increase significantly over the next 12 months. Upstream respondents predict growth of 75.8 and Downstream predicts expansion at 71.2. Respondents clearly expect Inventory Costs to continue outpacing Inventory Levels, particularly Downstream where they predict Inventory Levels to run relatively lean.



Warehousing Capacity

The reading for Warehousing Capacity for January 2026 registered in at a neutral 50.0 points reflecting a 11.2 -point drop from the month prior. This reading is down 1.7 points from the reading one year ago and is also up by 4.1-points from the reading two years ago. In addition, there was a 4.4-point split between Upstream (51.4) and Downstream (47.1) which was not statistically significant (p>.1), but notable as the Downstream value entered into contraction from its entrance into expansion. Comparing the differences between small (<999 employees) and large (>999) employees we see that these values are identical at 50.0 and 50.0.

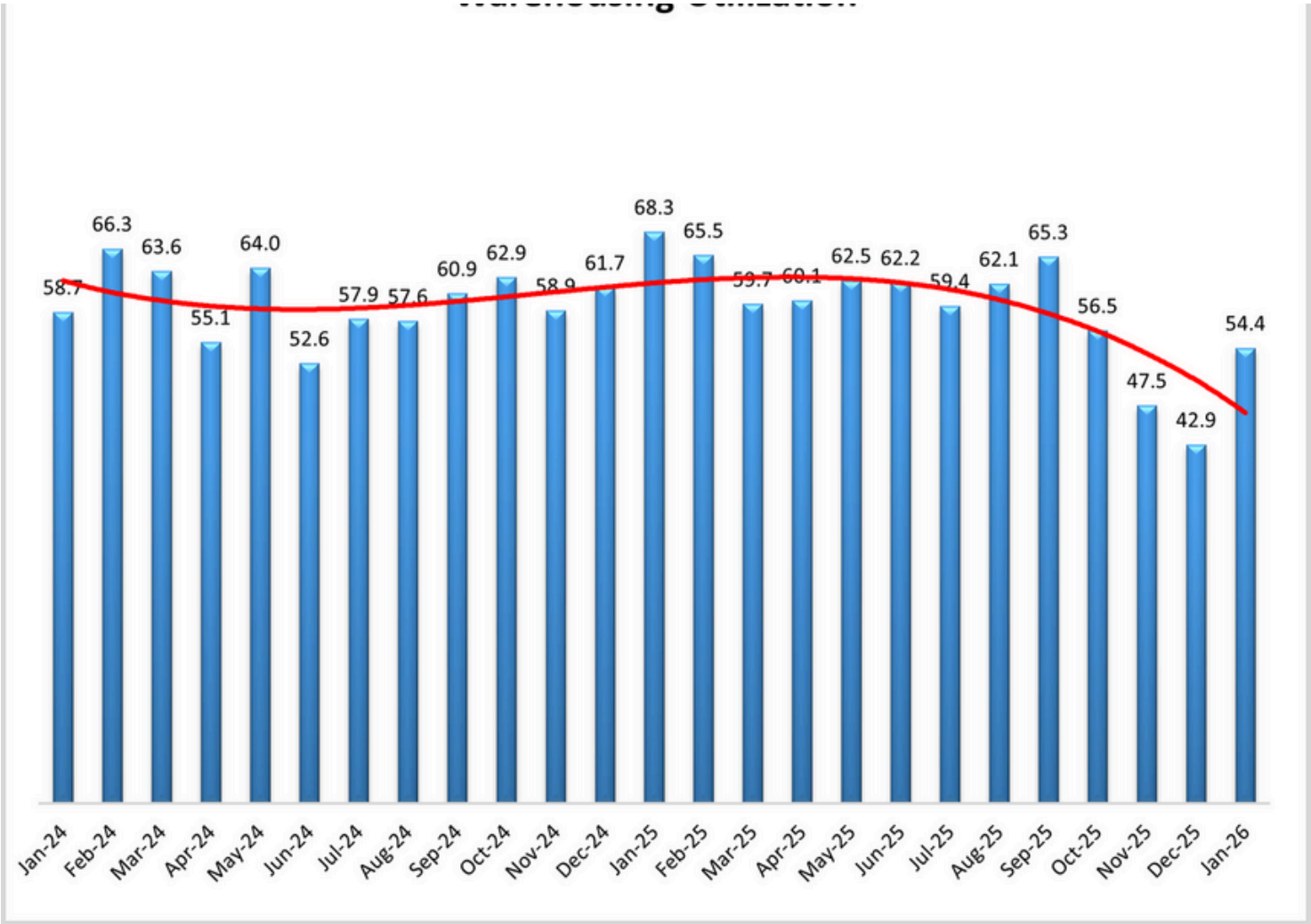
Finally, exploring the future predictions for Warehousing Capacity, respondents predict close to no expansion at51.9, down (-4.0) from December's future prediction of 55.9. Downstream is expected to sustain expansionary growth with a value of 56.1 with Upstream's growth expected to retreat to neutrality, with the predicted value one year out registering in at 50.0. This 6.1-point difference was not statistically significant (p>.1).



Warehousing Utilization

Breaking three months of rapid decline, the Warehousing Utilization index registered in at 54.5-points for the month of January 2026, reflecting a 11.6 -point increase from the month prior, entering back into expansion from three months of contraction. This reading is down a dramatic 14.1-points from the reading one year ago, and down by 4.3-points from the reading two years ago. In addition, there was a 2.2-point split between Upstream (55.1) and Downstream (52.9), where both values are now squarely in contractionary territory, but this difference was also not statistically significant (p>.1). Comparing the differences between small (<999 employees) and large (>999) employees we see that these values are 54.0 and 54.8 with both small and large firms back into expansionary territory. This .8-point split was not statistically significant (p >.1).

Finally, exploring the future predictions for Warehousing Utilization, respondents predict expansion at 62.3, which is down (-3.3) December's future prediction of 65.6. Expectations for growth are consistent across the supply chain with future Upstream



Warehousing Prices

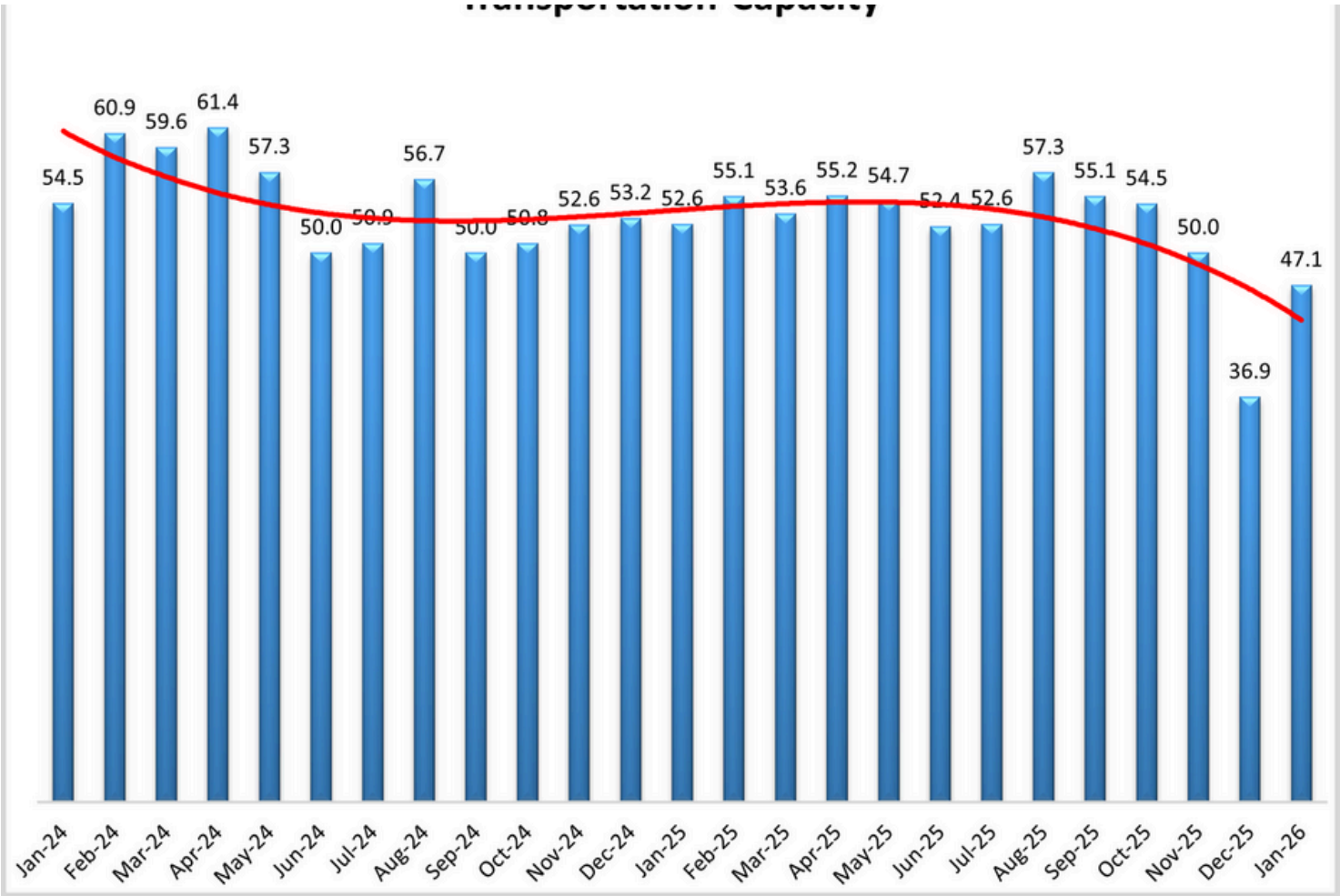
The Warehousing Pricing index is exhibiting a recurring "see-saw" pattern, with pricing decreasing (in direct contrast from last month's reading) by 1.5-points to 64.8 for January 2026. This reading is down 8.1-points from the reading one year ago, and up 0.4-points from the reading two years ago. In addition, there was a 8.8-point split between Upstream (67.6) and Downstream (58.8) which was marginally statistically significant ($p<.1$). Comparing the differences between small (<999 employees) and large (>999) employees we see that these values are 62.5 and 67.0 reflecting a 4.5 -point difference between the two which was not statistically significant ($p >.1$).

Finally, exploring the future predictions for Warehouse Price, respondents predict robust expansion at 74.5, down slightly (-0.2) from December's prediction of 74.7. Expectations

Transportation Capacity

The Transportation Capacity Index rebounded 10.2 points to 47.1 percent in January 2026. Despite this large increase, the Transportation Capacity index remains below the critical threshold and indicates slight contraction. While the Upstream Transportation Capacity index is at 45.9, the Downstream index is at 50.0 but the difference is not statistically significant.

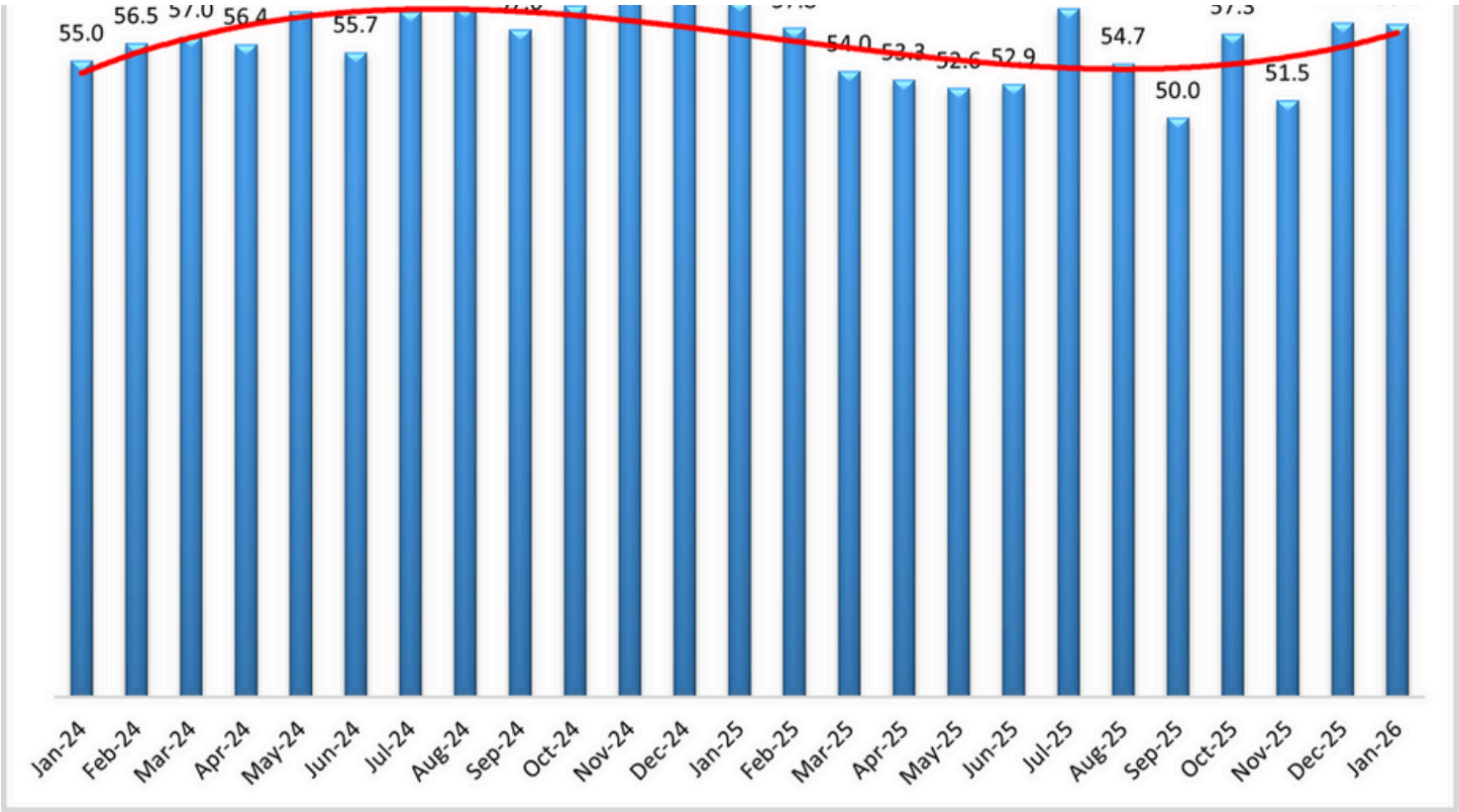
The future Transportation Capacity index increased 1.8 points, and it is now at 42.3, still indicating contraction for the next 12 months. While the future Upstream index is at 42.4, the Downstream Transportation Capacity index is at 42.2, and the difference is not statistically significant. As such, the expectations of future contractions are prevalent



Transportation Utilization

The Transportation Utilization Index decreased a mere .1 points, indicating 58.1 in January 2026. The Downstream Transportation Utilization Index is now at 52.9, while the Upstream index indicates 60.2, and the difference is not statistically significant. As such, it can be concluded that the increase in Transportation Utilization is prevalent across the supply chains, both Upstream and Downstream.

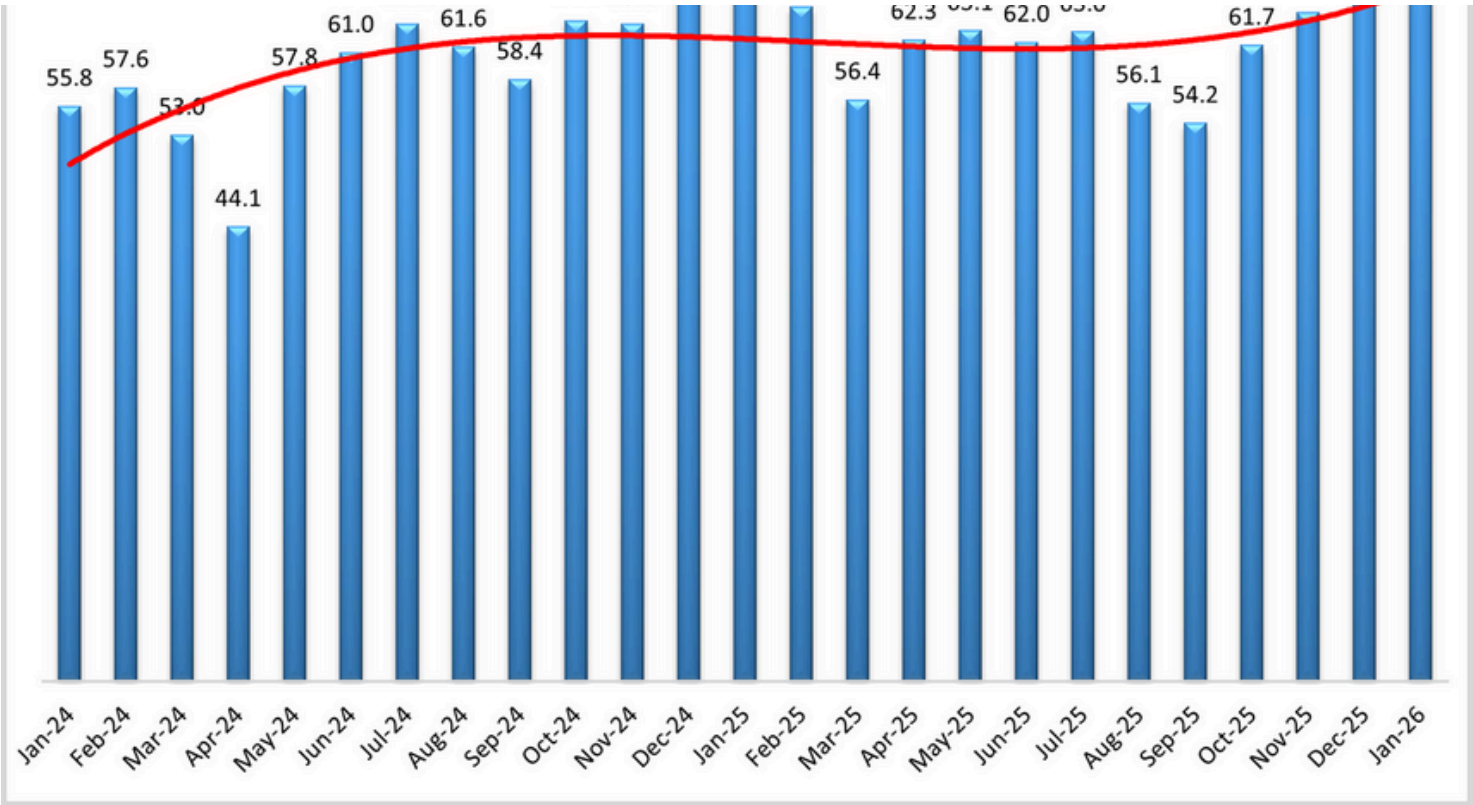
The future Transportation Utilization Index decreased 1.3 points from last month, indicating 69.0 points for the next 12 months. The future Upstream Transportation Utilization index at 73.8 and the Downstream index at 56.3 and the difference is statistically significant. As such expectation of increased Transportation Utilization remains stronger Upstream than Downstream.



Transportation Prices

The Transportation Prices Index increased another 4.7 points from the previous reading and recorded 71.4 in January 2026. With this increase, the index is 1 point lower than the level indicated one year ago. While the Upstream Transportation Prices Index is at 71.8, the Downstream index is at 70.6 and the difference is not statistically significant. As such, it can be concluded that the inflationary pressure on Transportation prices is being felt strongly across the supply chains, both Upstream and Downstream.

The future index for Transportation prices also increased from last month, indicating 79.5 level for the next year. The Upstream future Transportation prices index is at 81.0 while the Downstream Transportation prices index is at 75.8, and the difference is not statistically significant. Therefore, inflationary expectations in Transportation prices are prevalent across the supply chains, both Upstream and Downstream.



About This Report

The data presented herein are obtained from a survey of logistics supply executives based on information they have collected within their respective organizations. LMI® makes no representation, other than that stated within this release, regarding the individual company data collection procedures. The data should be compared to all other economic data sources when used in decision-making.

Data and Method of Presentation

Data for the Logistics Manager's Index is collected in a monthly survey of leading logistics professionals. The respondents are CSCMP members working at the director-level or above. Upper-level managers are preferable as they are more likely to have macro-level information on trends in Inventory, Warehousing *and* Transportation trends within their firm. Data is also collected from subscribers to both DC Velocity and Supply Chain Exchange as well. Respondents hail from firms working on all six continents, with the majority of them working at firms with annual revenues over a billion dollars. The

Respondents are asked to identify the monthly change across each of the eight metrics collected in this survey (Inventory Levels, Inventory Costs, Warehousing Capacity, Warehousing Utilization, Warehousing Prices, Transportation Capacity, Transportation Utilization, and Transportation Prices). In addition, they also forecast future trends for each metric ranging over the next 12 months. The raw data is then analyzed using a diffusion index. Diffusion Indexes measure how widely something is diffused or spread across a group. The Bureau of Labor Statistics has been using a diffusion index for the Current Employment Statics program since 1974, and the Institute for Supply Management (ISM) has been using a diffusion index to compute the Purchasing Managers Index since 1948. The ISM Index of New Orders is considered a Leading Economic Indicator.

We compute the Diffusion Index as follows:

PD = Percentage of respondents saying the category is Declining,
PU = Percentage of respondents saying the category is Unchanged,
PI = Percentage of respondents saying the category is Increasing,
Diffusion Index = 0.0 * PD + 0.5 * PU + 1.0 * PI

For example, if 25 say the category is declining, 38 say it is unchanged, and 37 say it is increasing, we would calculate an index value of 0*0.25 + 0.5*0.38 + 1.0*0.37 = 0 + 0.19 + 0.37 = 0.56, and the index is increasing overall. For an index value above 0.5 indicates the category is increasing, a value below 0.5 indicates it is decreasing, and a value of 0.5 means the category is unchanged. When a full year's worth of data has been collected, adjustments will be made for seasonal factors as well.

Logistics Managers Index

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About The Logistics Manager's Index®

The Logistics Manager's Index (LMI) is a joint project between researchers from Arizona State University, Colorado State University, University of Nevada, Reno, Florida Atlantic University, and Rutgers University, supported by CSCMP. It is authored by Zac Rogers Ph.D., Steven Carnovale Ph.D., Shen Yeniyurt Ph.D., Ron Lembke Ph.D., and Dale Rogers Ph.D.

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